Reply to IRS Notice CP207 · Form 941 · Quarter Ended June 30, 2026

Draft reply package for review. Prepared reply in the forms' boxes; not the official Schedule B or Form 843.

Employer	HANGS Construction Services LLC
EIN	XX-XXX7890
Address	2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134
Notice	CP207 dated October 26, 2026, received October 29, 2026
Reply due	December 10, 2026, 45 days from the notice date

Is the penalty right?

Proposed on the notice: averaged failure-to-deposit penalty	**4,534.32**
Correct penalty on the actual paydays (the June 26 bonus run, 8 days late at 5%)	**1,010.38**
Removed once the IRS has the Schedule B	**3,523.94**

The notice is right that HANGS is a semiweekly depositor and that line 16 was wrong. Its amount is not: it comes from spreading each month's tax over the first four Wednesdays. On the real paydays every regular deposit was on time; only the June 26 off-cycle bonus run was late.

The deposit schedule

Form 941 line 12, July 1, 2024 to June 30, 2025 (more than $50,000: semiweekly)	2,764,880.28
Schedule B total for Q2 2026, equal to line 12 and to the deposits	868,745.69

What the reply asks

1. Refigure the penalty from the enclosed Schedule B (record of federal tax liability by payday).
2. Remove the remaining $1,010.38 under the Automatic Exemption from Penalty: twelve clean quarters, Q2 2023 to Q1 2026.
3. Fallback only, if a person decides to send it: a reasonable-cause statement signed under penalty of perjury.
4. Form 843 is filled in but held: it is filed only if a penalty is assessed after the reply.

What's in this package

Cover letter · Schedule B in its boxes · deposit trail · penalty recomputed · relief request and statement · Form 843 (held) · client email · calendar
Then one evidence page for each linked figure, the open items, the rule checks, and the original client files attached to this PDF.

Signature: none. Nothing has been mailed. Open items stay with a person: RESIDUAL-01, AEP-01, Q3-01, POA-01, REPLY-01.

UNSIGNED DRAFT

Cover Letter to the IRS

Draft for the President's signature. The reply address is on the paper notice in the client's tax file.

HANGS Construction Services LLC
2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134
EIN XX-XXX7890

Internal Revenue Service
[Address at the top of notice CP207]

Re: Notice CP207 dated October 26, 2026 · Form 941 · tax period June 30, 2026

To whom it may concern:

We received your notice CP207 saying the record of federal tax liability for our Form 941 for the quarter ended June 30, 2026 was missing or incorrect. You are right: we are a semiweekly schedule depositor for 2026, and the return showed monthly liabilities on line 16 instead of a Schedule B. A software upgrade had reset our payroll system's Form 941 setting to monthly; we are correcting it.

Enclosed is a completed Schedule B (Form 941) showing our tax liability on each of the 7 dates wages were paid, $868,745.69 in all, the same as line 12. Please refigure the failure-to-deposit penalty from it instead of the averaged liabilities. A list of our EFTPS deposits is enclosed for your reference.

On the actual paydays, every regular payroll was deposited on its due date. One deposit was late: our June 26, 2026 off-cycle bonus payroll ($20,207.60), paid the same day as the regular payroll, was due June 29, 2026 and deposited July 7, 2026. We understand the penalty on it is $1,010.38.

We ask that this remaining penalty be removed under the Automatic Exemption from Penalty. For the twelve quarters from Q2 2023 to Q1 2026 we filed every Form 941 on time, paid every balance and made every deposit by EFTPS; the only penalty in that period was abated for reasonable cause in 2024.

If you have any questions, please contact Celeste Whitford, President, at 206-555-0187.

Sincerely,

_____

Celeste Whitford, President (unsigned draft)

Enclosures: Schedule B (Form 941) for the quarter ended June 30, 2026; list of Q2 2026 EFTPS deposits; copy of the notice.

UNSIGNED DRAFT

Schedule B (Form 941) · Report of Tax Liability for Semiweekly Schedule Depositors

Prepared reply in the forms' boxes; not the official Schedule B or Form 843. Calendar year 2026, quarter 2 (April, May, June). Liabilities, not deposits.

Employer identification number	XX-XXX7890
Name	HANGS Construction Services LLC
Calendar year	2026
Quarter	2: April, May, June

Month 1 (April)

Day 3	wages paid April 3, 2026 · regular payroll PR-2607		124,471.11
Day 17	wages paid April 17, 2026 · regular payroll PR-2608		123,696.95
Tax liability for month 1			**248,168.06**

Month 2 (May)

Day 1	wages paid May 1, 2026 · regular payroll PR-2609		124,504.03
Day 15	wages paid May 15, 2026 · regular payroll PR-2610		123,234.31
Day 29	wages paid May 29, 2026 · regular payroll PR-2611		122,764.34
Tax liability for month 2			**370,502.68**

Month 3 (June)

Day 12	wages paid June 12, 2026 · regular payroll PR-2612		108,546.11
Day 26	wages paid June 26, 2026 · one entry for the day: the runs below added		**141,528.84**
	regular payroll PR-2613	121,321.24	
	off-cycle bonus payroll PR-2614	20,207.60	
Tax liability for month 3			**250,074.95**

Total liability for the quarter (equals Form 941, line 12) **868,745.69**

Every other day of the quarter: no liability. Two runs paid on the same day are one day's liability on Schedule B. Sent with the reply as the new record of federal tax liability the notice asks for (Instructions for Schedule B: liabilities on the dates wages were paid, total equal to line 12).

UNSIGNED DRAFT

Deposit Trail · Q2 2026

Each pay run, its due date ($100,000 or more of tax on a payday: the next business day) and its EFTPS deposit. Calendar days late count from the due date.

Payday	Run	Liability	Due	Deposited	EFT number	Amount	Days late
Apr 3 (Fri)	Regular	124,471.11	Apr 6	Apr 6	272604060755433	124,471.11	On time
Apr 17 (Fri)	Regular	123,696.95	Apr 20	Apr 20	272604200863352	123,696.95	On time
May 1 (Fri)	Regular	124,504.03	May 4	May 4	272605040971271	124,504.03	On time
May 15 (Fri)	Regular	123,234.31	May 18	May 18	272605181079190	123,234.31	On time
May 29 (Fri)	Regular	122,764.34	Jun 1	Jun 1	272606011187109	122,764.34	On time
Jun 12 (Fri)	Regular	108,546.11	Jun 15	Jun 15	272606151295028	108,546.11	On time
Jun 26 (Fri)	Regular	121,321.24	Jun 29	Jun 29	272606291302947	121,321.24	On time
Jun 26 (Fri)	Off-cycle bonus	20,207.60	Jun 29	Jul 7	272607071410866	20,207.60	8

Q2 deposits by EFTPS, equal to line 13 and line 12 **868,745.69**

Every Q2 payday carried $100,000 or more of tax, so each deposit was due the next business day (Publication 15's $100,000 next-day rule), not the semiweekly Wednesday. The June 26 bonus run was paid with the regular run, so that day's $141,528.84 was all due June 29, 2026. The regular run was deposited that day; the bonus run's $20,207.60 was deposited July 7, 2026 by the controller after the July reconciliation: 8 calendar days late.

UNSIGNED DRAFT

The Penalty, Recomputed

The notice's averaged method, reproduced (IRM Exhibit 20.1.4-3)

April: 248,168.06 ÷ 4 on Apr 1, Apr 8, Apr 15, Apr 22	62,042.02 each
May: 370,502.68 ÷ 4 on May 6, May 13, May 20, May 27	92,625.67 each
June: 250,074.95 ÷ 4 on Jun 3, Jun 10, Jun 17, Jun 24	62,518.74 each

Share dated	Deposit applied	Days late	Rate	Amount late	Penalty
May 20	Jun 1	4	2%	30,138.67	602.77
Jun 3	Jun 15	5	2%	46,027.37	920.55
Jun 17	Jun 29	5	2%	58,802.51	1,176.05
Jun 17	Jul 7	13	5%	3,716.23	185.81
Jun 3	Jul 7	27	10%	16,491.37	1,649.14
Averaged penalty, recomputed: equal to the notice					**4,534.32**

The correct penalty, on the actual paydays

June 26 bonus run liability (PR-2614), due Jun 29, deposited Jul 7	20,207.60
8 calendar days late: 5% (26 U.S.C. 6656(b)(1))	**1,010.38**
7 regular runs, each deposited on its due date	0.00
Removed by the Schedule B	**3,523.94**

Why the averaged figure is higher: the averaged method puts a quarter of each month's tax on Wednesdays when no wages had been paid, so deposits made on time for the real Friday paydays look late against the averaged dates, and the one late deposit is spread across several shares.

UNSIGNED DRAFT

Relief Request and Reasonable-Cause Statement

Form 941 history, Q2 2023 to Q1 2026 (twelve consecutive quarters)

Q2 2023	due 2023-07-31 · received 2023-07-26	No penalty
Q3 2023	due 2023-10-31 · received 2023-10-25	No penalty
Q4 2023	due 2024-01-31 · received 2024-01-29	No penalty
Q1 2024	due 2024-04-30 · received 2024-04-24	Penalty: FTD penalty $2,372.18 assessed June 10, 2024; abated August 19, 2024 for reasonable cause (the bank's EFTPS settlement error on the March 22 deposit)
Q2 2024	due 2024-07-31 · received 2024-07-29	No penalty
Q3 2024	due 2024-10-31 · received 2024-10-28	No penalty
Q4 2024	due 2025-01-31 · received 2025-01-27	No penalty
Q1 2025	due 2025-04-30 · received 2025-04-28	No penalty
Q2 2025	due 2025-07-31 · received 2025-07-29	No penalty
Q3 2025	due 2025-10-31 · received 2025-10-27	No penalty
Q4 2025	due 2026-02-02 · received 2026-01-28	No penalty
Q1 2026	due 2026-04-30 · received 2026-04-24	No penalty

Every return on time and paid; every deposit by EFTPS; one penalty, abated for reasonable cause. For 2026 quarterly returns the IRS applies the Automatic Exemption from Penalty instead of First Time Abate; a penalty abated for reasonable cause does not count against it. History qualifies on the client's records: yes (AEP-01).

Penalty for which relief is asked **1,010.38**

Reasonable-cause statement (fallback; send only if RESIDUAL-01 decides so)

HANGS Construction Services LLC pays its employees every other Friday; our payroll system makes the EFTPS deposit for each regular payroll on the next business day. On Friday, June 26, 2026, with the regular payroll, we paid project-completion bonuses in a separate off-cycle run. Off-cycle runs are not in the system's automatic deposit batch, and this run's deposit was not scheduled by hand. Our controller found the gap in the July reconciliation and deposited the full amount on July 7, 2026.

Every other deposit for the quarter, and for the twelve quarters before it, was made on time. Since then each off-cycle run is deposited with its payday's regular run, and the controller checks each EFTPS confirmation against the payroll.

Under penalties of perjury, I declare that I have examined this statement and, to the best of my knowledge and belief, it is true, correct and complete.

_____ Date _____

Celeste Whitford, President (unsigned draft)

Note for the reviewer: the IRS says mistakes and reliance on others generally do not qualify; this statement is the fallback, not the main request.

UNSIGNED DRAFT

Form 843 · Claim for Refund and Request for Abatement

HELD: filed only if the IRS assesses a penalty after the reply. Prepared reply in the forms' boxes; not the official Schedule B or Form 843.

Name	HANGS Construction Services LLC
EIN	XX-XXX7890
Address	2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134
Telephone	206-555-0187

1	Period	From 04/01/2026 to 06/30/2026
2	Amount to be refunded or abated	**1,010.38**
3	Dates of payment	None: not paid
4	Type of tax	Employment
5	Type of return	941
6	Penalty: Internal Revenue Code section	6656
7	Reason	Box c: reasonable cause or other reason allowed under the law

8 Explanation: the failure-to-deposit penalty on the Form 941 for the quarter ended June 30, 2026 should be removed under the Automatic Exemption from Penalty: twelve consecutive quarters of timely filing, payment and EFTPS deposits (Q2 2023 to Q1 2026). The only late deposit was the June 26, 2026 off-cycle payroll, deposited July 7, 2026. See the reply to notice CP207 and the enclosed Schedule B.

Signature: a corporate officer authorized to sign, with title (Celeste Whitford, President). Unsigned. If F1 Finance files it, Form 2848 must be attached (POA-01).

UNSIGNED DRAFT

Email to the Client (draft)

To: Dana Whitfield, Controller

Subject: Your IRS notice CP207: what it means and what we need from you

Hi Dana,

Good news first: the IRS's $4,534.32 is not the right number. Because the Q2 return showed monthly totals instead of a Schedule B, the IRS spread each month's tax evenly over the month's Wednesdays and tested your deposits against those made-up dates. On your real paydays every regular deposit was on time.

The one real problem is the June 26 bonus run: it was paid with the regular payroll, so its tax was due with it the next business day, Monday, June 29, and it went in July 7, 8 days late. That costs $1,010.38. We are asking the IRS to waive it because your last twelve quarters are clean; under the IRS's new automatic relief for 2026 quarters that should qualify.

What we need from you: (1) Celeste signs a Form 2848 so we can talk to the IRS for you; (2) she signs the reply by November 20 so it is mailed well before December 10, 2026; (3) switch the payroll system's Form 941 setting back to semiweekly and make sure the Q3 return goes in with its Schedule B; (4) deposit each off-cycle run with its payday's regular run, the next business day.

You do not need to pay anything now. If the IRS still assesses a penalty after our reply, we will file Form 843 for you.

Thanks,

F1 Finance

Draft: not sent. A person reviews and sends it.

UNSIGNED DRAFT

Due-Date Calendar

November 13, 2026	TARGET	Form 2848 signed by the President, so F1 Finance can speak to the IRS for HANGS (POA-01) Instructions for Form 843: Form 2848 for a representative
November 20, 2026	TARGET	President reviews and signs the reply; the reasonable-cause statement only if RESIDUAL-01 decides to send it CP207 page: statement signed under penalty of perjury
November 30, 2026	TARGET	Payroll system Form 941 setting switched back to semiweekly; the Q3 2026 return confirmed filed with its Schedule B (Q3-01) Instructions for Form 941, line 16
December 10, 2026	DEADLINE	CP207 reply due: Schedule B for Q2 2026 with the cover letter, to the address on the paper notice, by certified mail CP207 page: within 45 days of the notice date
January 23, 2027	INFO	Last day to designate how the Q2 deposits apply (not needed: the most-recent rule already confines the late amount) 26 U.S.C. 6656(e)(2): 90 days from the penalty notice
February 1, 2027	DEADLINE	Q4 2026 Form 941 due with Schedule B (January 31 is a Sunday) Instructions for Form 941: due dates and line 16
February 8, 2027	INFO	End of the 15-week hold: without a processed reply the averaged penalty is assessed systemically; Form 843 is then filed if needed IRM 20.1.4.18: CP 207 hold of 15 cycles

UNSIGNED DRAFT

NOTICE REPLY · FOLLOW THE EVIDENCE

The notice · Proposed averaged failure-to-deposit penalty

$4,534.32

Workbook: Summary!B8

Draft figure · open items and review remain

Summary!B8 = $4,534.32

=Notice!B15

Notice!B15 = $4,534.32

='E02 Notice'!B21

E02 Notice!B21 = $4,534.32

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 IRS Notice/IRS notice CP207 for Q2 2026 Form 941.pdf · PDF page 1; notice number and date, tax form and period, what the notice asks, and the figures on the notice

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

The penalty · Correct penalty on the actual paydays

$1,010.38

Workbook: Summary!B9

Draft figure · open items and review remain

Summary!B9 = $1,010.38

='Correct Penalty'!E9

Correct Penalty!E9 = $1,010.38

=ROUND(SUM(E8:E8),2)

Correct Penalty!E8 = $1,010.38

=ROUND(B8*D8,2)

Correct Penalty!B8 = $20,207.60

='Schedule B'!C15

Schedule B!C15 = $20,207.60

='E05 Payroll'!N15

E05 Payroll!N15 = $20,207.60

Correct Penalty!D8 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N15

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

The penalty · Removed by the Schedule B

$3,523.94

Workbook: Summary!B10

Draft figure · open items and review remain

Summary!B10 = $3,523.94
='Correct Penalty'!E11

Correct Penalty!E11 = $3,523.94
=ROUND(E10-E9,2)

Correct Penalty!E10 = $4,534.32
=Notice!B15

Notice!B15 = $4,534.32
='E02 Notice'!B21

E02 Notice!B21 = $4,534.32

Correct Penalty!E9 = $1,010.38
=ROUND(SUM(E8:E8),2)

Correct Penalty!E8 = $1,010.38
=ROUND(B8*D8,2)

Correct Penalty!B8 = $20,207.60
='Schedule B'!C15

Schedule B!C15 = $20,207.60
='E05 Payroll'!N15

E05 Payroll!N15 = $20,207.60

Correct Penalty!D8 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):
02 IRS Notice/IRS notice CP207 for Q2 2026 Form 941.pdf · PDF page 1; notice number and date, tax form and period, what the notice asks, and the figures on the notice
05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N15

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Deposit schedule · Lookback total, line 12 for July 2024 to June 2025

$2,764,880.28

Workbook: Summary!B11

Draft figure · open items and review remain

Summary!B11 = $2,764,880.28
=Lookback!B12

Lookback!B12 = $2,764,880.28
=ROUND(SUM(B8:B11),2)

Lookback!B8 = $618,734.09
='E06 History'!D13

E06 History!D13 = $618,734.09

Lookback!B9 = $731,860.47
='E06 History'!D14

E06 History!D14 = $731,860.47

Lookback!B10 = $672,903.17
='E06 History'!D15

E06 History!D15 = $672,903.17

Lookback!B11 = $741,382.55
='E06 History'!D16

E06 History!D16 = $741,382.55

Source files and cells (the full formula chain is in the workbook and on the review screen):
06 IRS Account History/Form 941 account history Q2 2023 to Q1 2026.pdf · PDF page 1; the twelve quarters before Q2 2026: due and received dates, line 12 and penalties

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Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Total liability for the quarter

$868,745.69

Workbook: Schedule B!C16

Draft figure · open items and review remain

Schedule B!C16 = $868,745.69
=ROUND(SUM(C8:C15),2)

Schedule B!C8 = $124,471.11
='E05 Payroll'!N8

E05 Payroll!N8 = $124,471.11

Schedule B!C9 = $123,696.95
='E05 Payroll'!N9

E05 Payroll!N9 = $123,696.95

Schedule B!C10 = $124,504.03
='E05 Payroll'!N10

E05 Payroll!N10 = $124,504.03

Schedule B!C11 = $123,234.31
='E05 Payroll'!N11

E05 Payroll!N11 = $123,234.31

Schedule B!C12 = $122,764.34
='E05 Payroll'!N12

E05 Payroll!N12 = $122,764.34

Schedule B!C13 = $108,546.11
='E05 Payroll'!N13

E05 Payroll!N13 = $108,546.11

Schedule B!C14 = $121,321.24
='E05 Payroll'!N14

E05 Payroll!N14 = $121,321.24

... 2 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N8, Payroll by Payday!N9, Payroll by Payday!N10, Payroll by Payday!N11, Payroll by Payday!N12, Payroll by Payday!N13, Payroll by Payday!N14, Payroll by Payday!N15

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Month 1 total
$248,168.06

Workbook: Schedule B!C18

Draft figure · open items and review remain

Schedule B!C18 = $248,168.06
=ROUND(SUM(C8:C9),2)

Schedule B!C8 = $124,471.11
='E05 Payroll'!N8

E05 Payroll!N8 = $124,471.11

Schedule B!C9 = $123,696.95
='E05 Payroll'!N9

E05 Payroll!N9 = $123,696.95

Source files and cells (the full formula chain is in the workbook and on the review screen):
05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N8, Payroll by Payday!N9

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Month 2 total
$370,502.68

Workbook: Schedule B!C19

Draft figure · open items and review remain

Schedule B!C19 = $370,502.68
=ROUND(SUM(C10:C12),2)

Schedule B!C10 = $124,504.03
='E05 Payroll'!N10

E05 Payroll!N10 = $124,504.03

Schedule B!C11 = $123,234.31
='E05 Payroll'!N11

E05 Payroll!N11 = $123,234.31

Schedule B!C12 = $122,764.34
='E05 Payroll'!N12

E05 Payroll!N12 = $122,764.34

Source files and cells (the full formula chain is in the workbook and on the review screen):
05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N10, Payroll by Payday!N11, Payroll by Payday!N12

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Month 3 total
$250,074.95

Workbook: Schedule B!C20

Draft figure · open items and review remain

Schedule B!C20 = $250,074.95
=ROUND(SUM(C13:C15),2)

Schedule B!C13 = $108,546.11
='E05 Payroll'!N13

E05 Payroll!N13 = $108,546.11

Schedule B!C14 = $121,321.24
='E05 Payroll'!N14

E05 Payroll!N14 = $121,321.24

Schedule B!C15 = $20,207.60
='E05 Payroll'!N15

E05 Payroll!N15 = $20,207.60

Source files and cells (the full formula chain is in the workbook and on the review screen):
05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N13, Payroll by Payday!N14, Payroll by Payday!N15

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Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-04-03

$124,471.11

Workbook: Schedule B!C8

Draft figure · open items and review remain

Schedule B!C8 = $124,471.11

='E05 Payroll'!N8

E05 Payroll!N8 = $124,471.11

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N8

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-04-17

$123,696.95

Workbook: Schedule B!C9

Draft figure · open items and review remain

Schedule B!C9 = $123,696.95

='E05 Payroll'!N9

E05 Payroll!N9 = $123,696.95

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N9

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Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-05-01

$124,504.03

Workbook: Schedule B!C10

Draft figure · open items and review remain

Schedule B!C10 = $124,504.03

='E05 Payroll'!N10

E05 Payroll!N10 = $124,504.03

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N10

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-05-15

$123,234.31

Workbook: Schedule B!C11

Draft figure · open items and review remain

Schedule B!C11 = $123,234.31

='E05 Payroll'!N11

E05 Payroll!N11 = $123,234.31

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N11

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-05-29

$122,764.34

Workbook: Schedule B!C12

Draft figure · open items and review remain

Schedule B!C12 = $122,764.34

='E05 Payroll'!N12

E05 Payroll!N12 = $122,764.34

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N12

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-06-12

$108,546.11

Workbook: Schedule B!C13

Draft figure · open items and review remain

Schedule B!C13 = $108,546.11

='E05 Payroll'!N13

E05 Payroll!N13 = $108,546.11

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N13

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-06-26

$121,321.24

Workbook: Schedule B!C14

Draft figure · open items and review remain

Schedule B!C14 = $121,321.24

='E05 Payroll'!N14

E05 Payroll!N14 = $121,321.24

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N14

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Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Schedule B · Liability for wages paid 2026-06-26

$20,207.60

Workbook: Schedule B!C15

Draft figure · open items and review remain

Schedule B!C15 = $20,207.60

='E05 Payroll'!N15

E05 Payroll!N15 = $20,207.60

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N15

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Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Deposit trail · Q2 deposits by EFTPS

$868,745.69

Workbook: Deposits!G16

Draft figure · open items and review remain

Deposits!G16 = $868,745.69
=ROUND(SUM(G8:G15),2)

Deposits!G8 = $124,471.11
='E04 EFTPS'!F14

E04 EFTPS!F14 = $124,471.11

Deposits!G9 = $123,696.95
='E04 EFTPS'!F15

E04 EFTPS!F15 = $123,696.95

Deposits!G10 = $124,504.03
='E04 EFTPS'!F16

E04 EFTPS!F16 = $124,504.03

Deposits!G11 = $123,234.31
='E04 EFTPS'!F17

E04 EFTPS!F17 = $123,234.31

Deposits!G12 = $122,764.34
='E04 EFTPS'!F18

E04 EFTPS!F18 = $122,764.34

Deposits!G13 = $108,546.11
='E04 EFTPS'!F19

E04 EFTPS!F19 = $108,546.11

Deposits!G14 = $121,321.24
='E04 EFTPS'!F20

E04 EFTPS!F20 = $121,321.24

... 2 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
04 Deposits/EFTPS payment history 2026.xlsx · EFTPS Payments!F14, EFTPS Payments!F15, EFTPS Payments!F16, EFTPS Payments!F17, EFTPS Payments!F18, EFTPS Payments!F19, EFTPS Payments!F20, EFTPS Payments!F21

Original documents are attached to this PDF. The workbook is attached too.

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NOTICE REPLY · FOLLOW THE EVIDENCE

The penalty · The June 26 bonus run, deposited late

$20,207.60

Workbook: Correct Penalty!B8

Draft figure · open items and review remain

Correct Penalty!B8 = $20,207.60

='Schedule B'!C15

Schedule B!C15 = $20,207.60

='E05 Payroll'!N15

E05 Payroll!N15 = $20,207.60

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N15

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Original documents are attached to this PDF. The workbook is attached too.

NOTICE REPLY · FOLLOW THE EVIDENCE

Relief · Penalty for which relief is asked

$1,010.38

Workbook: Relief!B25

Draft figure · open items and review remain

Relief!B25 = $1,010.38

='Correct Penalty'!E9

Correct Penalty!E9 = $1,010.38

=ROUND(SUM(E8:E8),2)

Correct Penalty!E8 = $1,010.38

=ROUND(B8*D8,2)

Correct Penalty!B8 = $20,207.60

='Schedule B'!C15

Schedule B!C15 = $20,207.60

='E05 Payroll'!N15

E05 Payroll!N15 = $20,207.60

Correct Penalty!D8 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Q2 2026 payroll by payday.xlsx · Payroll by Payday!N15

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

WHAT STILL NEEDS A PERSON

RESIDUAL-01 · $1,010.38: The June 26 off-cycle bonus run (PR-2614), $20,207.60, was deposited July 7, 8 calendar days after its June 29 due date: $1,010.38 at 5% is owed on the actual paydays even after the Schedule B. The reply asks for the Automatic Exemption from Penalty on the clean twelve-quarter history. The reasonable-cause statement drafted as a fallback is weak: off-cycle runs are not in the payroll system's automatic deposit batch and this one's deposit was not scheduled, an oversight, and the IRS says mistakes and reliance on others generally do not qualify. A person decides whether to send it; if sent, the President signs it under penalty of perjury.

AEP-01 · $1,010.38: For 2026 quarterly returns the IRS applies the Automatic Exemption from Penalty, not First Time Abate. On the client's records Q2 2023 to Q1 2026 qualify: all twelve returns on time and paid, all deposits by EFTPS, and the one penalty (Q1 2024, $2,372.18) abated for reasonable cause, which does not count. AEP is applied when the original return processes, and no AEP letter came for Q2; whether the IRS will apply it to the remaining penalty after the Schedule B, and how many FTD waivers its own records show (four or more disqualify), are for a person to confirm with the IRS once Form 2848 is on file.

Q3-01: The payroll system's Form 941 setting has said monthly since its May 4, 2026 upgrade, and it still does. The Q3 2026 return is being prepared separately with a Schedule B; a person confirms it went in that way (otherwise a CP207 for Q3 will follow), switches the setting back to semiweekly before the Q4 return due February 1, 2027, and adds off-cycle runs to the deposit control so each is deposited the next business day with its payday.

POA-01: No Form 2848 or Form 8821 is on file for F1 Finance. Until Celeste Whitford signs a Form 2848 for Form 941, 2026 periods, F1 Finance cannot discuss the account with the IRS or file Form 843 for HANGS; the reply itself is signed and mailed by HANGS.

REPLY-01: Unsigned draft. The reply to notice CP207 dated October 26, 2026 is due Thursday, December 10, 2026, at the address on the paper notice, by certified mail. Form 843 is filled in but held: it is filed only if a penalty is assessed after the reply. Nothing has been signed, mailed or paid.

This PDF is an unsigned draft reply. It is not the official Schedule B or Form 843, and nothing has been signed or mailed.

UNSIGNED DRAFT

TAX RULE CHECKS

Official sources checked during this run. These checks inform a reviewer, change no amount and settle no judgment.

What does notice CP207 ask for, and by when?

Verified Online · Understanding your CP207 notice · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/individuals/understanding-your-cp207-notice

The notice is dated October 26, 2026, so the reply is due December 10, 2026. The draft Schedule B lists the liability of each of the seven Q2 paydays, $868,745.69 in all, the same as line 12; June 26 carries the regular and the off-cycle bonus run paid that day together.

What happens without a reply, and where does a reasonable-cause statement go?

Verified Online · Understanding your CP207 notice · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/individuals/understanding-your-cp207-notice

The reply carries the Schedule B first. The statement for the June 26 bonus run's late deposit is drafted for the President's signature under penalty of perjury and is sent only if a person decides to ask for reasonable cause.

Was HANGS a monthly or a semiweekly schedule depositor in 2026?

Verified Online · Publication 15 (2026), (Circular E), Employer's Tax Guide · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/publications/p15

Line 12 for Q3 2024 to Q2 2025 totals $2,764,880.28 ($618,734.09, $731,860.47, $672,903.17 and $741,382.55), far over $50,000: HANGS was a semiweekly depositor for all of 2026. The notice is right about the schedule; the monthly box on line 16 was wrong.

Which lookback period applies for 2026, and what must a semiweekly depositor file with Form 941?

Verified Online · Instructions for Form 941 (03/2026) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i941

The Q2 return checked the monthly box and attached no Schedule B: the payroll system's May 4 upgrade had reset its Form 941 setting to monthly, and it still says monthly (Q3-01). Apart from the lookback period, every 2026 payday carried $100,000 or more of tax, which on its own makes an employer a semiweekly depositor.

When was each Q2 deposit due?

Verified Online · Publication 15 (2026), (Circular E), Employer's Tax Guide · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/publications/p15

All seven Q2 paydays were Fridays carrying $100,000 or more of tax ($108,546.11 to $141,528.84), so each was due the next business day, the following Monday. June 26 carried the regular run ($121,321.24) and the off-cycle bonus run ($20,207.60) together, $141,528.84, all due Monday, June 29. The averaged Wednesday shares are each under $100,000 and fall on the semiweekly schedule; Memorial Day moved the May 20 share to Thursday, May 28.

Why did the IRS propose an averaged penalty?

Verified Online · Publication 15 (2026), (Circular E), Employer's Tax Guide · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/publications/p15

Line 12 was $868,745.69 and the return showed only monthly totals, so the averaged penalty applied: the notice proposes $4,534.32.

How exactly does the IRS average a semiweekly depositor's monthly liabilities?

Verified Online · IRM 20.1.4, Failure to Deposit Penalty · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/irm/part20/irm_20-001-004r

Splitting April, May and June into quarters on the first four Wednesdays and applying the deposits as made gives $4,534.32, the notice's figure to the cent. On the actual paydays the penalty is $1,010.38.

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TAX RULE CHECKS, CONTINUED

What goes on the Schedule B sent with the reply?

Verified Online · Instructions for Schedule B (Form 941) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i941sb

Seven liabilities on seven paydays (April 3 and 17; May 1, 15 and 29; June 12 and 26), $868,745.69, equal to line 12 and to the deposits. June 26 is one entry, $141,528.84: the regular and the bonus runs paid that day.

What does the law charge for a late deposit, and what excuses it?

Verified Online · 26 U.S. Code 6656, Failure to make deposit of taxes · retrieved 2026-11-08 · determined-by-facts

https://www.law.cornell.edu/uscode/text/26/6656

The June 26 bonus run's $20,207.60 was deposited July 7, 8 days after its June 29 due date: 5%, $1,010.38. Applying deposits to the most recent liability keeps the late amount on the bonus run alone; the regular run's June 29 deposit was on time.

Are days late counted in business days or calendar days?

Verified Online · Failure to Deposit Penalty · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/payments/failure-to-deposit-penalty

June 29 to July 7 is 8 calendar days (5 business days, because July 3 was a legal holiday), so 5%, not 2% and not 7%.

Is First Time Abate available for a Q2 2026 deposit penalty, and does HANGS's history qualify?

Verified Online · Administrative penalty relief (First Time Abate and Automatic Exemption from Penalty) · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/payments/administrative-penalty-relief

Q2 2023 to Q1 2026: all twelve Forms 941 on time, all paid, all deposits by EFTPS. The only penalty, Q1 2024's $2,372.18, was abated for reasonable cause, which the page says does not count. On the client's records the history qualifies, so the reply asks that any penalty left after the Schedule B be removed under AEP.

Stays with a person: AEP is applied when the original return completes processing; no AEP letter came for Q2, and the CP207's averaged penalty is only proposed. Whether the IRS will apply AEP to the remaining $1,010.38 after the Schedule B, and the count of FTD waivers in the IRS's own records, are AEP-01.

What are the IRS's First Time Abate criteria for a deposit penalty, and which comes first, the waiver or reasonable cause?

Verified Online · IRM 20.1.1, Introduction and Penalty Relief · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/irm/part20/irm_20-001-001r

So the order of the reply is: correct the averaged penalty with the Schedule B (HANGS complied on every regular payday), ask for administrative relief on the one late deposit, and keep reasonable cause as the fallback. The Q1 2024 abatement was for reasonable cause, not FTA, so it does not count.

Would the June 26 bonus deposit qualify for reasonable cause if administrative relief is refused?

Verified Online · Penalty relief for reasonable cause · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/payments/penalty-relief-for-reasonable-cause

The facts for HANGS: twelve clean quarters, every regular deposit on time, the missed run caught by the controller's own July reconciliation and deposited in full 8 days late. That is a fair statement but not a strong reasonable-cause case; it is the fallback only.

Stays with a person: Whether to send the reasonable-cause statement, and the President's signature under penalty of perjury, are RESIDUAL-01.

Is Form 843 needed now?

Verified Online · Instructions for Form 843 (12/2024) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i843

Held, not sent: nothing is assessed yet. The draft is filled in for $1,010.38 under section 6656 for the quarter ended June 30, 2026, to be signed by the President if the IRS assesses the penalty after the reply.

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